Department of Management Sciences

Level three B3ME
UCAC/ICY/FSSG

MONETARY ECONOMICS

CA EXAM 1.30 HOUR

I. Questions

12 MARKS

1. Distinguish bethween the microeconomics part of monetary economics and the macroeconomics part of monetary economics

   2 MARKS

2. Present the equation of exchange and give his assumptions 2 MARKS

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4. In the demand for money theory, give the explanation of the different dates : 1911, 1917, 1936, 1952, 1963 and 2008.

   6 MARKS

II. Exercises

8 MARKS

Exercise 1 : 4 MARKS

If the money supply (M) in an economy is $500 billion, the velocity of money (V) is 4, and the volume of transactions (T) is 1 trillion, what is the price level (P)?

Exercise 2 : 4 MARKS

If an individual's income is $50,000 per year and they spend 40% of it on goods and services, how much money would they demand for transactions purposes (assuming they need to hold money equivalent to the amount they spend on transactions)?

Scanné avec CamScanner